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Financial Reporting Quality

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CONTEXT FOR ASSESSING FINANCIAL REPORTING QUALITY

Learning Outcome

- describe motivations that might cause management to issue financial reports that are not high quality and conditions that are conducive to issuing low-quality, or even fraudulent, financial reports

In assessing financial reporting quality, it is useful to consider whether a company's managers may be motivated to issue financial reports that are not high quality. If motivation exists, an analyst should consider whether the reporting environment is conducive to managers' misreporting. It is important to consider mechanisms within the reporting environment that discipline financial reporting quality, such as the regulatory regime.

Motivations

Managers may be motivated to issue financial reports that are not high quality to mask poor performance, such as a loss of market share or lower profitability than competitors. As **Lewis (2012)** stated, "A firm experiencing performance problems, particularly those it considers transient, may induce a response that inflates current earnings numbers in exchange for lower future earnings."

- Even when there is no need to mask poor performance, managers frequently have incentives to meet or beat market expectations as reflected in analysts' forecasts or management's own forecasts. Exceeding forecasts may increase the stock price, if only temporarily. Additionally, exceeding forecasts can increase management compensation that is linked to increases in stock price or to reported earnings. **Graham, Harvey, and Rajgopal (2005)** found that the chief financial officers (CFOs) they surveyed view earnings as the most important financial metric to financial markets. Achieving (or exceeding) particular benchmarks, including prior-year earnings and analysts' forecasts, is very important. The authors examined a variety of motivations for why managers might "exercise accounting discretion to achieve some desirable earnings goal." Motivations to meet earnings benchmarks include equity market effects (e.g., building credibility with market participants and positively affecting stock price) and trade effects (e.g., enhancing reputation with customers and suppliers). Equity market effects are the most powerful incentives, but trade effects are important, particularly for smaller companies.
- Career concerns and incentive compensation may motivate accounting choices. For example, managers might be concerned that working for a company that performs poorly will limit their future career opportunities or that they will not receive a bonus based on exceeding a particular earnings target. In both cases, management might be motivated to make accounting choices to increase earnings. In a period of marginally poor performance, a manager might accelerate or inflate revenues or delay or under-report expenses. Conversely, in a period of strong performance, a manager might delay revenue recognition or accelerate expense recognition to increase the probability of exceeding the next period's targets (i.e., to "bank" some earnings for the next period.) The surveyed managers indicated a greater concern with career implications of reported results than with incentive compensation implications.

Avoiding debt covenant violations can motivate managers to inflate earnings. Graham, Harvey, and Rajgopal's survey indicates that avoidance of bond covenant violation is important to highly leveraged and unprofitable companies but relatively unimportant overall.

decision to issue low-quality, or even fraudulent, financial reports is made by an individual or individuals. Why individuals make such choices is not always immediately apparent. For example, why would the newly appointed CEO of Sunbeam, who already had a net worth of more than USD100 million, commit accounting fraud by improperly reporting revenues from "bill-and-hold" sales and manipulating the timing of expenses, rather than admit to lower-than-expected financial results?

Typically, three conditions exist when low-quality financial reports are issued: opportunity, pressure or motivation, and rationalization—sometimes referred to as the **fraud triangle**. Opportunity can be the result of internal conditions, such as poor internal controls or an ineffective board of directors, or external conditions, such as accounting standards that provide scope for divergent choices or minimal consequences for an inappropriate choice. Motivation can result from pressure to meet some criteria for personal reasons, such as a bonus, or corporate reasons, such as concern about financing in the future. Rationalization is important because if a decision maker is concerned about a choice, that person needs to be able to justify it to him- or herself.

Former Enron CFO Andrew Fastow, speaking at the 2013 Association of Certified Fraud Examiners Annual Fraud Conference, indicated that he knew at the time he was doing something wrong but followed procedure to justify his decision (**Pavlo, 2013**). He made sure to get management and board approval, as well as legal and accounting opinions, and to include appropriate disclosures. The incentive and corporate culture was to create earnings rather than focus on long-term value. Clearly, as reflected in his prison sentence, he did something that was not only wrong but illegal.

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